



File No.: EXP202300434

RESOLUTION OF FILE OF PROCEEDINGS

From the proceedings carried out by the Spanish Agency for Data Protection and based on the following:

FACTS

FIRST: On November 25, 2022, a complaint was filed with the Spanish Agency for Data Protection against ZANK FINANCIAL, S.L. with NIF B66090473 (hereinafter, the respondent).

The reasons for the complaint are as follows:

The complainant states that they entered into a loan agreement with the respondent in July 2014, arising controversies regarding the amount of the debt, considering the inclusion of their personal data in common credit information systems to be unlawful while the matter was being litigated.

Along with their complaint, they provide:

- Particular conditions of the personal loan contract, annexed to a binding loan contract, detailing the characteristics of the loan between the complainant and ZANK (Alfil Internet Ventures S.L.), dated July 9, 2014.
- Opposition to the initial request for a monitoring process filed at the request of ZANK FINANCIAL PFP S.L., submitted by the complainant's attorney to the Court of First Instance (...) of Castellón, dated October 18, 2018.
- Payment demand and notification, sent by the Court of First Instance (...) of Castellón to the complainant, dated October 24, 2018.
- Decree No. XX/2019 from the Court of First Instance (...) of Castellón declaring the monitoring process terminated, dated January 17, 2019.
- Decree from the Court of First Instance (...) of Castellón summoning the parties to the hearing for the verbal trial on July 9, 2019.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to the respondent/ALIAS, for them to analyze it and inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations.

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The transfer, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), through electronic notification, was not collected by the responsible party within the availability period, being understood as rejected in accordance with the provisions of Article 43.2 of the LPACAP on January 27, 2023, as evidenced by the certificate in the file.

Although the notification was validly carried out by electronic means, considering the procedure completed in accordance with the provisions of Article 41.5 of the LPACAP, an informational copy was sent by postal mail which was returned as unknown.

THIRD: On February 7, 2023, in accordance with Article 65 of the LOPDGDD, the complaint was admitted for processing.

FOURTH: The General Sub-Directorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions of Title VII, Chapter I, Section two, of the LOPDGDD, being aware of the following points:

On April 13, 2023, a request for information was made to ASNEF-EQUIFAX to verify the registration

requests for the complainant (debtor) by the respondent (creditor).

On April 17, 2023, ASNEF EQUIFAX responded to the request, indicating that "[...] after consulting our Auxiliary Notification and Canceled Operations files in the ASNEF file, we indicate that the data of A.A.A., with DNI ***NIF.1, has been transferred by ZANK FINANCIAL PFP SL (now ALFIL INTERNET VENTURES SL) from 05/27/2019 to 08/04/2019, for a personal loan as the holder [...]"

They provide copies of the queries to their database:

- In DOCUMENT ONE, the updates for the NIF of the respondent (debtor) show that there is a registration in the name of the complainant (creditor) and "Entity (...) ZANK FINANCIAL PFP S" on May 27, 2019.

- In DOCUMENT TWO, the deregistration of the complainant (debtor) at the request of the respondent (creditor) by "Entity (...) ALFIL INTERNET VENT" dated August 4, 2019.

On April 24, 2023, as the corporate name of the respondent (creditor) provided by ASNEF-EQUIFAX did not match the information extracted from the Commercial Registry, the information was consulted at www.axesor.es, resulting that ALFIL INTERNET VENTURES, SL changed its corporate name to ZANK FINANCIAL PFP, SL on November 28, 2017, and to ZANK FINANCIAL,

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SL, on June 9, 2021, this last change registered in the BORME on June 16, 2021.

LEGAL GROUNDS

I

Competence

In accordance with the functions conferred to each supervisory authority by Article 57.1 a), f), and h) of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) and as provided in Articles 47 and 48.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to resolve these investigative proceedings.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Breach of Obligation

A claim is made against the respondent for the possible commission of an infringement for violation of Article 6.1 of the GDPR, due to lack of legitimacy in the processing, by including the respondent's data in a solvency file when the debt was subject to judicial litigation.

Article 6 of the GDPR, under the heading "Lawfulness of processing," details in its paragraph 1 the cases in which data processing is considered lawful:

"1. Processing shall be lawful only if at least one of the following applies:

- a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in letter f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.”

On the other hand, the LOPDGDD, in its Article 20, under the heading "Credit information systems," provides:

“1. Unless proven otherwise, the processing of personal data relating to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

a) That the data have been provided by the creditor or by someone acting on their behalf or interest.

b) That the data refer to certain, overdue, and enforceable debts, the existence or amount of which has not been the subject of administrative or judicial claim by the debtor or through an alternative dispute resolution procedure binding on the parties.

c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.

The entity maintaining the credit information system with data relating to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.

d) That the data are only maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the due date of the monetary, financial, or credit obligation.

e) That data relating to a specific debtor may only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

When the right to limit the processing of data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system shall inform those who may consult it according to the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

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f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation carried out, the party who consulted the system shall inform the affected party of the result of said consultation.

2. The entities that maintain the system and the creditors, regarding the processing of data related to their debtors, shall be considered joint controllers of the data processing, being subject to the provisions established by Article 26 of Regulation (EU) 2016/679. It shall be the responsibility of the creditor to ensure that the requirements for the inclusion of the debt in the system are met, being liable for its non-existence or inaccuracy.

3. The presumption referred to in paragraph 1 of this article does not cover cases where the credit information is associated by the entity maintaining the system with additional information not contemplated in said paragraph, related to the debtor and obtained from other sources, in order to carry out profiling of the same, particularly through the application of credit scoring techniques.”

III

Typification and Qualification of the Possible Infraction

The infraction that the claimed party may have incurred, specified in the processing of the personal data of the claiming party by including them in a solvency file while the debt was subject to judicial claim, is typified in Article 83 of the GDPR which, under the heading “General conditions for the imposition of administrative fines,” states:

“5. The infringements of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 Euros or, in the case of an enterprise, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount:

a) The basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9.”

The LOPDGDD, for the purposes of the prescription of the infraction, qualifies in its Article 72.1 as a very serious infraction, with a prescription period of three years in this case, “b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679.”

The documentation in the file shows that the claimed party violated Article 6.1 of the GDPR.

The conduct of the claimed party contrary to the principle of lawfulness has consisted of communicating to a credit information system (the ASNEF file) a debt that, regarding the alleged debtor, the claimant, was not true, nor due, nor enforceable, as required by Article 20.1 of the LOPDGDD for the presumption of “iuris tantum” of the legitimate interest of the controller to apply, without proving the existence of such legitimate interest or the legally required balancing. The unlawful processing of the claimant's data, specified in the inclusion in a solvency file without a basis of legitimacy, began on May 27, 2019, the date the debt was registered in the mentioned file, ending on August 4, 2019.

The possible infringing action of the claimed party would be prescribed due to the passage of the three-year prescription period for very serious infringements, as indicated in Article 72 of the LOPDGDD, counting from the moment the communication of the disputed debt to Asnef ended, on August 4, 2019.

IV

Conclusion

From the above data, it follows that although the processing of the personal data of the claiming party, by including them in a solvency file, would have occurred while the debt was subject to judicial claim, the infraction is prescribed due to the passage of 3 years since the data was removed from Asnef.

In accordance with the above, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO FILE the present proceedings.

SECOND: TO NOTIFY this resolution to ZANK FINANCIAL, S.L., and to the claiming party.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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